US-Iran deal: A welcome relief for Asia

AI-boom and energy cost relief should position Asia for better performance. Thailand, Philippines, India, Korea stand to gain the most from lower oil prices.

- **Positive for Asia:** The US-Iran peace deal is positive for Asia's net energy importing economies through lower inflation (0.2-0.3pp for every 10% oil drop), improved current accounts (~0.3% of GDP) and modest growth/fiscal benefits. Combined with strong AI-demand, this should position Asia for better performance. However, the macro benefits will likely be visible with a lag, as supply chain normalization will likely be gradual.
- **Key winners:** Thailand, Philippines, India and South Korea stand to gain the most – Thailand via a lower import bill and inflation; Philippines through faster decline in inflation; India from reduced import costs and South Korea via a wider CA surplus.
- **Differentiation within Asia is still critical:** While broadly positive, we remain cautious on Indonesia owing to policy uncertainty, while India might enjoy a 'double bonanza' from lower oil prices and the recent FCNR(B) measure, which should further boost the BOP surplus in Q3.
- **Central bank divergence persists**: Lower oil prices will reduce hawkish pressure marginally, but policy paths remain highly divergent. We expect policy rates to be on hold for BI, RBI, RBA, BOT and PBoC; a delayed hike for Taiwan's CBC (December and March, versus June and December earlier) and continued hikes/policy tightening elsewhere (BSP, BNM, MAS, BOK and RBNZ).
- **FX strategy**: We made a few changes to emphasize our stance of being selectively short USD and with a focus on RV trades driven by local factors. We initiate short USD/KRW with a conviction level of 1/5, reinitiate long EUR/INR (raise to 3/5 from 2), and lower the conviction level on our long SGD/IDR to 3/5 (from 4). We also maintain our short USD/CNH (4/5) and short USD/TWD (3/5).
- In **Asia rates**, we focus on relative value after the latest rally. We maintain a receive position in Korea (2yfwd5y) at a conviction level of 3/5 (reduced from 4/5 earlier today). In India, we recommend a Sep-2s5s NDOIS flattener.

The US-Iran peace deal: A turning point for Asia?

Following more than three months of conflict in the Middle East and the blockade of the Strait of Hormuz, the US and Iran have finally agreed upon an interim peace deal, which is expected to be formalized on 19 June in Switzerland. Brent crude oil prices have fallen sharply in response; they are currently less than USD83/bbl and 25% below month-ago levels. These prices are well below our baseline assumptions. We currently assume Brent crude will average USD93.9/bbl in 2026, but if oil prices settle closer to USD80/bbl, the full-year average would fall to USD85.4/bbl and oil prices in H2 2026 would be ~15% below our current assumptions.

Moreover, the benefits from reopening the Strait of Hormuz extends beyond oil. Other commodity prices – natural gas, urea – are also repricing lower (Figure 1). The peace deal is still fragile, but if it proves durable and commodity prices stay benign, this would positively impact Asia's economic outlook, as the region is a large net energy importer and has been the most adversely impacted from the Middle East energy shock.

How the Hormuz closure has impacted Asia so far

The closure of the Strait of Hormuz has proven less damaging to Asia's growth than initially feared, thanks to a strong AI-driven growth boost and sufficient availability of oil supplies (inventory drawdown and sourcing from alternate routes). However, the Iran war'

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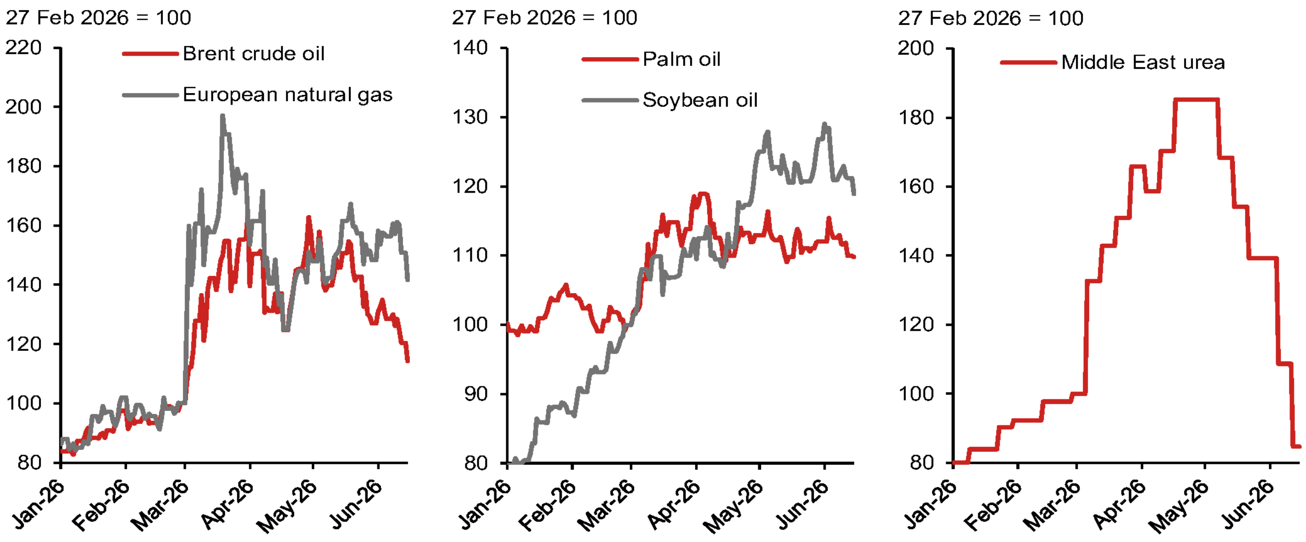
s true toll has manifested through higher inflation, currency depreciation and fiscal strain on many economies. Central banks accordingly pivoted in a hawkish direction.

Fig. 1: Commodity prices since the start of 2026



Note: We use daily prices for all commodities (latest: 15 June) except for Middle East urea (weekly prices; latest: 12 June).
Source: Bloomberg and Nomura Global Economics.

Supply-chain normalization: A gradual process

Even with the peace deal announced, the unwinding of supply-chain disruptions caused by the Strait of Hormuz closure is likely to be a more gradual process. The deal itself remains fragile, due to deep mutual distrust. There are logistical challenges (clearing the mines, clearing the stranded ships), insurance costs remain high and shipping confidence will only return gradually as vessels test the waters. Oil wells shuttered must be restarted, and as oil flows resume, a surge in restocking demand is inevitable. The entire energy supply chain – oil and refined products (jet fuel, diesel, gasoline), petrochemicals (polymers, plastics, naphtha), fertilizers, industrial metals and minerals (aluminum, sulphur, helium) all face a multi-month normalisation timeline.

A positive economic impact on Asia

Nevertheless, the US-Iran peace deal offers a welcome reprieve for Asia, with the potential for stronger growth, lower inflation and reduced twin current account and fiscal pressures (Figure 2).

Lower imports

A lower import bill is likely to be the most immediate impact. On average, every 10% fall in the price of oil improves Asia's current account (CA) balance by ~0.3% of GDP. The top three economies that would experience the most visible improvement include Thailand (every 10% oil price fall improves its CA by 0.5pp), India (0.4pp) and South Korea (0.3pp).

Easing inflation, but gradually

The easing of inflationary pressures will likely be more gradual, given the role of fiscal policy in capping the upside in energy prices, manufacturing margins still under pressure and lags in supply chain normalisation. Every 10% decline in oil prices, on average, lowers Asia’s CPI inflation by 0.2-0.3pp, but as pipeline price pressures continued to rise in May, CPI inflation benefits will likely take 2-3 months to materialise. We expect the impact of lower oil prices to be most visible in the Philippines, which has market-determined fuel prices. Lower oil and fertilizer prices can also help keep the lid on food inflation, although with 2026 an El Niño year, medium-term risks to food inflation remain.

Growth and fiscal benefits

We also expect some benefits to growth and fiscal relief for governments, but this impact should be more marginal in comparison with the current account and inflation benefits. On fiscal balances, we maintain our forecasts for slightly wider deficits in India (to 4.6% of GDP in FY27 versus the 4.3% budget target) and Indonesia (to 3% of GDP in 2026, with increased below-the-line spending).

Fig. 2: Impact of fall in oil prices on Asian economies

	Impact of every 10% fall in oil prices				Nomura's 2026 baseline projections (Assuming Brent crude oil price of US$93.9/bbl in 2026)			
	GDP growth (pp)	CPI inflation* (pp)	Current account (% of GDP)	Fiscal balance (% of GDP)	Real GDP (% y-o-y)	CPI inflation* (% y-o-y)	Current account (% of GDP)	Fiscal balance (% of GDP)
China	0.00	-0.10	0.20	0.01	4.5	0.9	3.4	-5.4
Hong Kong	0.00	-0.07	0.07	0.01	4.8	1.9	7.5	-1.2
India	0.15	-0.50	0.40	0.05	6.9	4.2	-1.9	-4.4
Indonesia	-0.05	-0.10	0.20	0.20	5.2	3.1	-2.0	-3.0
Malaysia	-0.04	-0.22	-0.02	0.00	5.2	2.3	2.0	-3.5
Philippines	0.07	-0.50	0.37	0.00	4.6	5.5	-4.8	-5.1
Singapore	-0.01	-0.14	-0.03	0.00	4.6	2.2	16.9	0.5
South Korea	0.05	-0.30	0.30	0.10	2.4	2.7	15.5	-2.0
Taiwan	0.03	-0.10	0.20	0.20	9.9	2.0	21.3	-1.4
Thailand	0.08	-0.30	0.50	0.20	1.8	1.5	1.4	-5.8

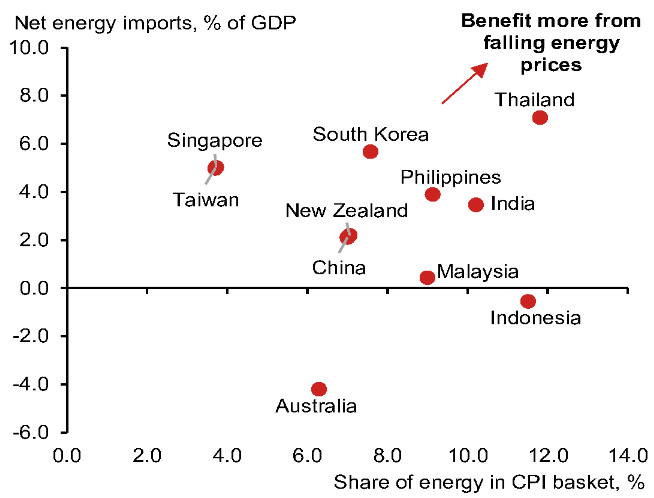
Note: *For Singapore, we calculate the impact on MAS core inflation.
Source: Bloomberg and Nomura Global Economics.

Winners from lower oil prices

Most Asian economies will benefit from lower energy prices, but we expect Thailand, the Philippines, India and South Korea to gain the most (Figures 3 and 4).

As Asia's largest net oil importer relative to GDP, **Thailand** should benefit from a lower import bill and a fall in cost-push inflation. **India** imports over 85% of its crude oil needs, and lower oil prices directly translate into reduced import costs, a narrower current account deficit, lower inflation and fiscal relief from reduced subsidy burdens for oil and fertilizers. In the **Philippines**, with no fuel subsidies and immediate pass-through to consumers, inflation surged the most to 7.2% y-o-y in April, and lower oil prices should lead to a faster inflation decline and reduce pressure on the current account. In **South Korea**, lower oil prices combined with gains from the ongoing AI boom should widen the current account surplus to above our current estimate of 15.5% of GDP in 2026 (already a record-high), and reduce goods price inflation.

Fig. 3: Net energy imports versus share of energy in CPI across Asia



Note: Data on net energy imports as a percentage of GDP are as of 2024, while data on share of energy in CPI basket are the latest available.
Source: CEIC, ITC Trademap and Nomura Global Economics.

Fig. 4: Energy trade balance (exports minus imports), % of GDP, 2024

	Trade balance (% of GDP)				
	Energy (total)	Crude oil	Refined petroleum products	LNG	Coal
Thailand	-7.1	-6.3	0.8	-1.3	-0.3
South Korea	-5.7	-4.6	1.3	-1.6	-0.9
Singapore	-5.0	-4.8	0.3	-0.6	0.0
Taiwan	-5.0	-3.0	0.6	-1.5	-1.2
Philippines	-3.9	-0.8	-2.4	-0.2	-0.6
Japan	-3.7	-1.7	-0.2	-1.0	-0.7
India	-3.5	-3.9	1.7	-0.4	-0.9
New Zealand	-2.2	0.2	-2.3	0.0	0.0
China	-2.1	-1.7	0.1	-0.2	-0.2
Malaysia	-0.4	-1.8	-0.2	2.6	-1.1
Indonesia	0.5	-0.6	-1.3	0.5	1.9
Australia	4.2	0.1	-1.6	2.5	3.1

Note: We use HS codes 2709, 2710, 271111 and 2701 for crude oil, refined petroleum products, LNG and coal respectively. Excluded Hong Kong from the analysis as some data are unavailable.
Source: ITC Trademap and Nomura Global Economics.

Differentiation within Asia is still critical

While lower oil prices provide a broad-based tailwind across Asia, country-specific differentiation will still be important. We remain more cautious on Indonesia and Thailand. Indonesia faces persistent policy uncertainty, concerns over BI independence, disruptions from the state commodity export agency on goods exports and credit rating concerns, while Thailand's structural constraints (ageing population, productivity challenges, China shock) remain intact. By contrast, India could enjoy a "double bonanza": not only does it benefit from lower oil prices, but the recent *FCNR(B) announcement* should lead to USD55bn in inflows, on our estimates, further boosting the BOP surplus.

Asian central banks: Less hawkish at the margin, but divergence persists

The peace deal and the resulting oil price decline have marginally reduced hawkish pressures across Asian central banks, but large divergences across policy paths remain, reflecting heterogeneous domestic growth-inflation dynamics (Figure 5).

- **HOLD (BI, RBI, RBA, BOT, PBoC):** The peace deal strengths our view that BI will leave policy rates unchanged this week and beyond, although this is contingent on a stabilisation of IDR. We maintain our forecast for the RBI to stay on hold this year, even as headline inflation inches up, due to low *underlying inflation*. The RBA appears done with its tightening cycle, and we maintain our view that it may be able to deliver a rate cut around May 2027, as core inflation moves towards target. Amid low inflation and weak domestic demand, we also expect BOT and PBoC to leave rates unchanged this year.
- **DELAYED HIKE (CBC):** Easing inflationary pressures are likely to reinforce the CBC's dovish stance, so we push out the timing we assign to the first 12.5bp hike to December from our previous forecast of June. We now expect 12.5bp rate hikes in December and March next year (terminal rate: 2.25%).
- **HIKE (BSP, BNM, MAS, BOK, RBNZ):** Despite lower oil prices, we expect rate hikes / policy tightening in a few economies. For BSP, we expect 75bp of cumulative rate hikes (including a 25bp hike this week), as core inflation remains elevated. BNM is likely to hike by 25bp in Q4, amid robust growth and strong labor markets, and we continue to expect another slight S$NEER slope increase by the MAS in July, as it faces rising core inflation pressures and broad-based growth. We also maintain our forecast for 75bp of cumulative hikes by the BOK (25bp in each of July, October and January 2027), as the BOK's May meeting emphasized positive spillovers from the semiconductor upcycle to the broader economy, growing demand-driven inflation pressures and the need to narrow the interest rate differential with the US. In New Zealand, we continue to forecast three 25bp rate hikes, commencing in September, to bring rates closer to neutral, but we see a risk that tightening could commence at the coming meeting on 8 July.

Fig. 5: Nomura's central bank policy base case versus what-if scenario

	Current monetary policy baseline	Central bank: What if oil falls below USD80/bbl and stays there?
China	No RRR or rate cuts for 2026	Maintain baseline forecast, as an ample interbank liquidity environment and falling CGB yields suggest limited scope for high-profile easing measures.
India	Policy hold at 5.25% through 2026	No change to our baseline forecast
Indonesia	Policy rate unchanged at 5.50% after 75bp in hikes so far, but significant risk of more hikes	On-hold and lower risk of additional hikes
Malaysia	25bp policy rate hike	No change to our baseline forecast
Philippines	75bp of additional hikes but measured approach (3 x 25bp)	Rising risk of another 50bp in hikes
Singapore	Expect another slight S$NEER slope increase by the MAS at the upcoming July MAS policy announcement (+0.5% slope appreciation)	No change to our baseline forecast
South Korea	3 x 25bp hikes (Jul 2026, Oct 2026, and Jan 2027); terminal rate at 3.25%	Maintain our baseline forecast of 3 x 25bp rate hikes. The BOK's hawkish stance, supported by positive spillovers from the semiconductor upcycle to the broader economy, the rising risk of demand-driven inflation, and concerns over the Korea-US interest rate differential, is likely to remain intact despite lower oil prices.
Taiwan	Following the US-Iran interim agreement, we now delay the timing of our rate hike call to Dec 2026 and Mar 2027 (versus Jun and Dec 2026); terminal rate at 2.25%.	Could further delay rate hikes as lower oil prices are likely to strengthen the CBC's dovish/neutral bias.
Thailand	BoT to keep policy rates on hold at 1.00% throughout the year	On hold, lower rate hike risk

Source: Nomura Global Economics.

Overall: Net positive for Asia, but differentiation still key

Overall, the US-Iran peace deal delivers a net positive shock to Asia, amplifying the region's already-strong momentum from the AI-driven export boom, while alleviating the energy-induced headwinds. Lower energy costs will ease inflationary pressures, relieve profit margin compression for manufacturers, narrow current account deficits for energy importers and provide fiscal breathing room for governments. The combination of AI-driven demand strength and energy cost relief should position Asia for better performance. However, differentiation within Asia remains paramount, as the benefits are not uniformly distributed. Critically, this is not the end of rate hikes for all central banks, and an important variable to monitor, going forward, will be Fed policy and its spillovers.

In the sections that follow, our Asia country economists provide more detailed estimates of the impact of lower oil and energy prices on their economies, and our strategy team assesses the implications for FX and rates markets.

Country-specific comments

Australia (Andrew Ticehurst)

Australia is a modest net energy exporter, so a lower oil price might be seen as a headwind. However, lower oil prices should also be helpful for trading partner growth and will also boost battered consumer and business sentiment. We therefore see modestly positive net implications for growth (stronger). We also anticipate modestly positive implications for inflation (weaker). We think the combination of slightly stronger growth and lower inflation should be a “wash” for the RBA, and our base case remains one in which the tightening cycle has most likely ended. We also maintain our forecast for the RBA to deliver a rate cut around May 2027, as core inflation moves slowly towards target.

China (Ting Lu, Jing Wang, Harrington Zhang and Hannah Liu)

A lower global oil price is positive for the economy, as China is the world's largest crude oil importer, with its oil import dependence elevated at around 73%. The reopening of the SoH should partially alleviate *supply chain disruptions* that have affected oil and chemical industries. However, we maintain our below-consensus full-year growth forecast of 4.5%, due to a limited boost from the price-driven export boom, substantial *payback effects* from the durable goods trade-in program, the continued property drag and a lack of forceful policy support. On the trade balance, while lower oil prices should theoretically reduce import values and widen the current account surplus, this effect may be partially offset by increased import volumes, as China replenishes its strategic petroleum reserves.

Following the release of May inflation data, we revised up our 2026 *CPI and PPI inflation* *forecasts* to 2.5% and 0.9%, respectively, from 1.0% and 0.6%. We maintain our revisions, as the oil price surge has already been transmitted through to domestic prices and the boost from the AI supercycle remains intact. We expect GDP deflator to turn positive for the year, supported by import-led reflation.

On monetary policy, we maintain our baseline forecast for no RRR or rate cuts this year. The combination of potentially softer import-led inflation and *exceptionally weak credit growth* could strengthen the case for the PBoC to maintain an accommodative monetary policy stance to stimulate domestic demand. However, an ample interbank liquidity environment and falling CGB yields suggest limited scope for high-profile easing measures.

India (Sonal Varma, Aurodeep Nandi)

Since the Iran war, India has been diversifying some of its oil imports away from the Middle East, with a pivot towards Russia (~39% of total shipments) and other non-traditional suppliers like Brazil and Venezuela (source: *Kpler*). India has also ramped up LPG and LNG imports, particularly from the US, to deal with shortages. If the Strait of Hormuz reopens, it could encourage a partial rejig of India's energy acquisition back to its traditional markets in the Middle East. India's growth data for the last three months suggest some evidence of supply-side disruptions from the war, but the impact has been dampened by the government's control of fuel prices, deft handling of supply shortages and the reluctance of companies to pass on higher costs to consumers. That said, we reduced our forecast for India's FY27 GDP growth by 50bp to 6.6%, on the expectation that some of the economic drags could materialize with lags. If the war concludes and supply-side constraints reverse, margin pressures on firms could ease.

The pick-up in CPI inflation has been primarily driven by higher food and fuel prices, with the government *raising petrol and diesel prices* (from mid-May) and some increase in LPG prices, but *underlying pressures remain tepid*, with most sub-components of the core basket yet to demonstrate a decisive pick-up in momentum, even as firms face escalating wholesale inflation. While lower oil and input prices should ease pressures, we note that the government had already *cut excise duties on petrol/diesel* before hiking prices, so any moderation in global crude oil prices could lead to the government re-introducing some of these taxes, while keeping prices unchanged to reduce the fiscal slippage. This would mean that our FY27 CPI inflation outlook of 5.0% remains intact for now.

On *monetary policy*, the RBI continues to await definitive signs of second-round effects on inflation and is wary of the downside risks to growth, and our outlook remains one of unchanged policy rates this year. On *fiscal policy*, higher fertilizer and fuel subsidies and uneven tax collections should lead to a 0.3pp slip in the government's fiscal deficit target to 4.6% of GDP, although a fall in energy prices could dial down some of these pressures. Our baseline FY27 CA deficit forecast is 2.4% of GDP, with the pressure on merchandise trade deficit largely buffered by a strong services surplus and remittances. Every 10% fall in crude oil prices (we assume ~USD100/bbl in FY27) should lead to a compression of the CAD by ~0.4% of GDP, although the government could be encouraged to ease some of its restrictions on gold/silver imports if the crisis passes. While we had been concerned about a large balance of payments deficit due to lower foreign investment flows, the *raft of policy measures to bolster the capital account* including the move to *attract deposits from the Indian diaspora abroad* should materially cap external pressures.

Indonesia (Euben Paracuelles, Nabila Amani)

Lower oil prices will help ease pressures on the overall balance of payments, but only partly, given domestic and other related concerns that are contributing to lower capital inflows and widening the current account deficit. As we have discussed, high policy uncertainty of the Prabowo government is keeping FDI inflows flat, contributing to the basic balance *turning to a deficit* in Q1. In addition, the *announcement* to centralize commodity exports could lead to short-term disruptions in goods exports. While fiscal risks may also be dissipated via lower fuel subsidy spending, the implementation of priority programs like the MBG are accelerating, and there are still no revenue reform measures. Thus, we still expect the fiscal deficit this year to hit the ceiling of 3% of GDP and see increased below-the-line spending, so the risk of a stealth breach of that ceiling remains significant. In terms of monetary policy, we continue to expect BI to keep its policy rate unchanged on 18 June at 5.50%, as it has frontloaded the 25bp hike in an *off-cycle meeting* last week, in our view. For the rest of the year, our base case envisages the policy rate remaining at 5.50%, but we have flagged significant risks of additional hikes in response to FX weakness. With easing external uncertainty, the risk of further hikes has consequently fallen but, as mentioned above, is not yet completely eliminated.

Malaysia (Euben Paracuelles, Yiru Chen)

Given the subsidy on widely consumed Ron95 petrol, the decline in crude oil prices will ease the government's fiscal burden, and thus, *the risk of a modestly higher fiscal deficit* than the budgeted 3.5% of GDP may dissipate, although revenues may also decline. The latest estimates from the government suggest fuel subsidies dropped to MYR3.5bn (0.16% of GDP) per month, based on Brent oil prices around USD90/bbl, down from the peak of MYR7.5bn (0.35%) in April. The impact of lower oil prices on headline CPI inflation will likely be modest, given our CPI forecast of 2.3% this year is still underpinned by strong domestic demand and robust labour market conditions. In terms of growth, lower energy prices may appear somewhat negative for GDP growth, as Malaysia is a net oil and gas exporter. That said, we believe the key growth drivers that underpin our *above-consensus 2026 GDP growth forecast* of 5.2% remain intact, including strong investment spending and a broadening AI-related demand. All of these factors, alongside increasing signs of building financial imbalance risks, support our out-of-consensus forecast for *BNM to hike its overnight policy rate by 25bp* to a more neutral 3.00% in Q4.

New Zealand (Andrew Ticehurst)

New Zealand is totally reliant on fuel imports, so a lower global oil price is a clear positive for the economy and reduces the risk of supply-chain disruptions too. However, it should also mean notably lower inflation. New Zealand's economy has material spare capacity, so it should be able to absorb faster growth than otherwise, and the RBNZ has a singular inflation remit, so the lower inflation outlook associated with lower global oil prices should be meaningful for it. Current policy settings are stimulatory, with the cash rate at 2.25%, and the RBNZ has received a nasty upside inflation surprise this year. We think it would feel most comfortable if it were able to return the cash rate towards neutral. Our forecast profile, for 25bp rate hikes in September, December and February would achieve this objective, and this remains our base case. We acknowledge a clear risk that policy tightening could commence at the coming meeting on 8 July (rather than in our base case of September) but at the margin, a lower inflation outlook, if lower global oil prices sustain, could support our call for a first hike in September.

Philippines (Euben Paracuelles, Nabila Amani)

Absent fiscal subsidies, the immediate impact of lower crude oil prices will show up in a further drop in headline inflation, which already *started easing* in May. That said, headline inflation remains well above BSP's 2-4% target and, importantly, core inflation is still rising due to lagged pass-through effects from elevated energy prices. This supports our view that BSP's hiking cycle remains intact but it is keeping a measured approach, as the drop in headline CPI inflation precludes the need for a more aggressive monetary tightening. We therefore maintain our forecast for BSP to hike its policy rate by 25bp this week to 4.75%, followed by another two 25bp hikes in each of the next monetary board meetings. As the terms-of-trade shock should become less negative, it implies a less-sharp widening of the current account deficit. However, BSP still maintains a laissez-faire approach to FX policy, so the currency will unlikely derail BSP's hiking cycle. Fiscal expenditures are also starting to turn around, supporting a *gradual improvement* in the growth outlook. BSP is likely mindful of the significant risks posed by El Niño, particularly on food inflation. However, if headline inflation falls more materially in the near term, due to the drop in oil prices, and core inflation peaks much earlier than our baseline of Q4, we acknowledge the risk that BSP could hike by a lower 50bp instead of another 75bp.

Singapore (Euben Paracuelles, Yiru Chen)

Lower crude oil prices should help mitigate the near-term upside risks to core inflation. However, core inflation is likely to remain on an upward trajectory in coming months, given the still-positive output gap. We think the *eventual upward adjustments* to airfares and holiday expenses from elevated jet fuel costs will still materialise, in addition to lagged adjustments to household utility costs. On the growth outlook, the reported US-Iran MOU and the potential end to hostilities reinforce our above-consensus GDP growth forecast of 4.6% this year (Consensus: 2.9%), and the downside risks which the MTI has flagged should diminish. We maintain our view that multiple growth engines will *continue* to drive near-term growth. The sustained global tech uptrend and broadening AI-related demand should continue to boost electronics output, while a potential recovery in feedstock supply should support chemicals output, which has been posing a small drag. A strong manufacturing sector would also have some spillovers to the services sector, while a buoyant residential property market and the implementation of several major projects will support construction activity. The expansionary FY26 budget and frontloaded fiscal support measures should *further bolster* domestic demand resilience, particularly as geopolitical headwinds recede. All these factors support our FX strategy team's forecast for another slight S$NEER slope increase by the MAS in July.

South Korea (Jeong Woo Park)

We maintain our 2026 GDP growth and inflation forecasts of 2.4% and 2.7%, respectively. While the direct boost to economic growth may be limited, given the current expansion remains heavily concentrated in the semiconductor sector, lower energy prices should help alleviate the downside risks to domestic demand over the second half of the year. From an inflation perspective, lower oil prices would moderate headline CPI pressures by reducing fuel and transportation costs and lowering the pass-through from imported energy prices to consumer prices. As a result, peak headline inflation during the second half of the year could prove lower than previously anticipated. That said, the impact on core inflation is likely to be more gradual, reflecting sticky domestic service prices.

On fiscal policy, easing oil prices would reduce the need for an additional supplementary budget in H2. As a result, we believe the government may have greater flexibility in allocating a portion of any excess tax income toward improving fiscal sustainability. Rather than deploying the entirety of excess tax revenues to additional spending, policymakers may find it increasingly appropriate to use part of these resources to strengthen the fiscal position, including reducing borrowing needs and rebuilding fiscal buffers.

In terms of monetary policy, the latest developments in the Middle East reduce the urgency for front-loaded tightening, in our view, but do not eliminate the need for further rate hikes. We continue to expect the BOK to deliver a 25bp rate hike in July, although the likelihood of a more aggressive tightening path (i.e., a 50bp hike in July or consecutive rate increases in July and August) appears to have diminished meaningfully following the easing of geopolitical tensions and the decline in oil prices.

Nevertheless, we do not believe the MOU and lower oil prices will materially alter the overall policy stance of the BOK. At its May meeting, the BOK justified the need for tightening by highlighting the positive spillovers from the semiconductor upcycle to the broader economy, the growing possibility of demand-driven inflation pressures and the need to narrow the interest rate differential with the US. Given these considerations remain largely intact, the recent decline in oil prices is unlikely to fundamentally change the BOK's reaction function. Accordingly, we maintain our call for three 25bp rate hikes (July and October 2026, and January 2027; terminal rate: 3.25%).

Taiwan (Jeong Woo Park, Si Ying Toh)

We maintain our 2026 GDP growth and inflation forecasts of 9.9% and 2.0%, respectively. Lower oil prices would help reduce downside risks to growth while easing upside pressures on inflation. As a net energy importer, Taiwan would benefit from lower import costs and an improvement in real household purchasing power, providing additional support to domestic demand. From an inflation perspective, the decline in energy prices is likely to lower the near-term trajectory of headline CPI and reduce concerns over a broader pass-through from imported inflation. This should help moderate the upside risks to the inflation outlook that had emerged in recent months.

For monetary policy, the easing inflationary pressures is likely to reinforce the Central Bank of the Republic of China's (Taiwan) relatively dovish stance. We maintain our expectation for two 12.5bp rate hikes to a terminal rate of 2.25%, but push out the timing of our rate hike call to December this year and March next year (versus June and December this year). In our view, lower oil prices reduce the urgency for near-term rate hikes, allowing the CBC to wait for clearer evidence that stronger domestic demand is translating into more persistent inflationary pressures before proceeding with further policy normalisation.

Thailand (Euben Paracuelles, Lattakit Lapudomkarn)

Thailand is one of the economies *most exposed* to oil price shocks, due to its sizable energy deficit, estimated at around 7% of GDP, and its heavy reliance on tourism, which contributes approximately 10% of GDP. The decline in oil prices should provide support for Thailand's economy by easing the burden on the consumer through lower inflation and improving tourism sentiment, following *earlier weakness* driven mainly by the decline in European tourists. However, we maintain our view that the overall growth backdrop is expected to remain subdued, as it is constrained by structural headwinds and weak domestic demand. On the external front, the record-high trade deficit in April is largely driven by elevated oil prices and front-loaded oil imports due to fear of supply shortages. If oil prices start to ease, the trade balance would also likely improve. Against this backdrop, we maintain our baseline view that the Bank of Thailand will leave policy rates unchanged throughout the year. Lower oil prices further reinforce this baseline view through easing inflationary pressures, reducing the probability of any policy tightening.

Asia FX and rates strategy

The impending reopening of the Strait of Hormuz supports our stance...

The news that (*Bloomberg*, 15 June) US-Iran officials will formally sign an interim agreement (i.e., an MOU on 19 June) that includes a reopening of the Strait of Hormuz **supports our strategy stance of leaning toward a de-escalation, adopted since *22 May***. Specifically, we lowered the conviction levels on our short South/Southeast Asia FX recommendations (i.e., short IDR, INR and PHP) on 22 May, as well as raising the conviction level on our short USD/CNH to 4/5 and establishing a short USD/TWD (3/5) on 25 May.

The risk of the US-Iran situation oscillating remains, as the media reported (*Bloomberg*, 15 June) some discrepancies on the terms of the MOU, as discussed by officials from both sides, including whether ships transiting through the Strait of Hormuz would be administrated by Iran/Oman, whether the Israel-Lebanon ceasefire can hold and whether the US and Iran can make further progress on thorny issues in the next stage of the negotiations. Nevertheless, we continue to believe that the **Trump administration has the *leeway* to make concessions** if it wants to re-open the Strait.

... of being selectively short USD, with a focus on RV trades driven by local factors

Overall, in view of lower energy prices reversing the terms-of-trade impact of a stronger broad USD, the potential outcomes from the FOMC and BOJ meetings this week and some medium-term drivers for a weaker broad USD, we maintain **our strategy stance of being selectively short USD** (against long CNH, and long TWD), and with **the focus on RV trades driven by idiosyncratic local factors** (i.e. long SGD/IDR, long EUR/INR and short AUD/NZD). With these developments, we also **made a few portfolio changes to further support our strategy stance**:

a. We **initiate a short USD/KRW position** with a conviction level of 1/5, thereby putting the position on watch for further assessment (see more below).

b. We **reinitiate our long EUR/INR position** by raising the conviction level back to 3/5 from 2/5, because we believe EUR can outperform INR in such an environment, despite potential FCNR(B) inflows (see more below).

c. We are also further **lowering the conviction level on our long SGD/IDR to 3/5**, as the market reassesses the negative implications of the war on Indonesia's BoP dynamics and recent policy measures (see more below).

In **Asia rates**, we focus on relative value after the latest rally. We maintain **receive Korea (2yfwd5y)** with a conviction level of 3/5 (reduced from 4/5 earlier today). In India, we recommend a Sep-2s5s NDOIS flattener (3/5).

Asia FX

Short USD/CNH: We maintain a high conviction level of 4/5 on our **short USD/CNH position**, targeting 6.60 (~3% gains) by end-August. With positive US-Iran developments, we are more convinced that USD/CNH can move significantly lower, along with a weaker broad USD because: 1) **USD/CNH has been more sensitive to downmoves in DXY than upmoves** since the start of the Iran war (28 February). We expect this to continue; 2) the **USD/CNY daily fixing continues to drift lower**. Today, the fixing reached its lowest level (of 6.8088) since 10 February 2023 (i.e., 6.7884). Positive errors widened to a 544pips today from an average of +361pips last week, but we do not believe this signals significant concerns from the Chinese authorities yet; 3) **FX settlement demand from onshore corporates is likely to remain robust in the coming months**, owing to continued strong export growth and trade surplus, as well as some local expectations for RMB appreciation. Indeed, the latest May data on net FX trade settlement showed strong inflows of USD53.6bn (April: USD47.7bn; Q1 average: USD65.3bn), which was equivalent to 71.3% of the trade surplus after adjusting for RMB settlement; and 4) RMB appreciation should also be **supported by its substantial undervaluation**. Based on our four FX valuation models, RMB remains undervalued by an average of 9.7%, with its productivity-adjusted REER undervalued by 19.9%.

Short USD/TWD: We maintain a conviction level of 3/5 on our **short USD/TWD** position, targeting 30.5 (~3% gains) by end-September. Amid the potential US-Iran agreement that could re-open the Strait of Hormuz (see above), we see scope for TWD to appreciate, because: 1) **a likely softer USD and a risk positive environment**, which should facilitate TWD appreciation against USD, alongside a broadly lower USD/Asia complex. Our expectation for CNH appreciation should also provide a tailwind for TWD; 2) **despite being *highly exposed* to the Strait of Hormuz energy shock, TWD has outperformed within AeJ since the onset of the Iran war, owing to the strength of its tech sector**. Therefore, we would expect TWD to enjoy a tailwind, if energy prices ease from currently elevated levels; 3) **Taiwan should remain a significant beneficiary of strong global AI demand and capex**. Total sales in April 2026 at Taiwanese electronics companies (confirmed data based on 265 companies) rose 39.0% y-o-y. In particular, *sales growth remained strong* for AI server-related products and rose sharply in the computing products segment; 4) **global AI demand is, in turn, supporting robust local fundamentals**. Export growth rose to a stronger-than-expected 51.7% y-o-y in May (consensus: 41.2%; previous: 39.0%), with high-tech shipments being the key driver. Overall, the May goods trade surplus increased to USD17.9bn from USD14.4bn in April. Our economist forecasts 2026 GDP growth of 9.9%, and pencils in two 12.5bp rate hikes by the CBC (see above); and 5) **a softer USD environment may offer some Taiwan lifers and exporters an opportunity** to consider increasing their FX hedging ratios (tactically) and reducing their USD hoarding, respectively, especially if USD/TWD swap points are in premium.

Long EUR/INR: We **reinitiate our long EUR/INR position** by raising the conviction level back to 3/5 from 2/5, targeting 113.8 (~4% gains) by end-September. We maintain the view of INR underperformance against EUR because: 1) **we believe EUR can be a strong beneficiary on the reversal of negative terms-of-trade pressures** from lower energy prices; 2) while the FCNR(B) deposit scheme is likely to improve near-term sentiment on INR, we note that it is eventually the **RBI's FX selling that could lead to INR stability**. This is because the banks that accrue those FCNR(B) deposits will swap them directly with the RBI; 3) **over the longer term, we believe the RBI will likely continue to accumulate FX reserves opportunistically**, as it attempts to minimise the impact of maturing short forwards on its headline FX reserves. Indeed, the RBI *prepared* for FCNR(B) swap maturities in September to November 2016 by accumulating long USD positions in both spot and forward markets ahead of time; 4) in June MTD, foreign investors have net sold USD4.3bn of Indian equities. While the equity outflows have been partly offset by USD1.5bn inflows into fixed income securities, overall portfolio outflows should continue to put downward pressure on INR; 4) ***Bloomberg* (12 June) reported that the Indian authorities may be willing to let the fiscal deficit widen to 4.8% of GDP** from the 4.3% of GDP goal set in February. While fiscal slippage is not a big concern for India, we believe it can add to the risk premia attached to Indian investments; and 5) we estimate that the **RBI net sold USD11.5bn of spot FX reserves in May 2026,** bringing 2026 FX intervention to USD49.1bn (spot + forward; forward data until April 2026), which is ~8.9% of 2025 FX reserves. We believe this is likely to **encourage the RBI to a buyer of FX on dips in USD/INR, causing INR underperformance**.

Short USD/KRW: We also initiate a **short USD/KRW position** with a conviction level of 1/5, thereby putting the position on watch for further assessment (but not in trade). We recently argued that an **alignment of several factors is necessary for KRW to outperform** ahead. In our view, a few factors have aligned, including: 1) a **de-escalation in US-Iran tensions that could feed into a softer broad USD**. Arguably, the impending signing of US-Iran MOU fulfils this condition despite some uncertainty; 2) **an increase in Korean corporate FX remittances**. There are signs that Korean officials have stepped up their inspections to assess whether speculative trading or suspected manipulation contributed to KRW weakness. Local media (*Yonhap Infomax*, 15 June) reported that an FX market official criticised shipbuilder Hanwha Ocean's low FX-hedged ratio, which prompted Hanwha to say it would increase its hedge ratio to the 70%-75% range; 3) **local retail purchases of US equities remain *anaemic***. Korean retail investors net bought only USD527mn of US portfolio assets between 8 and 12 June. In MTD June, Korea's retail investors net sold USD283mn of US portfolio assets, following UDS568mn of net selling in May 2026. That said, we **remain concerned that rising Korean equities could create a *"paradoxical phenomenon" of FX demand* by local and foreign investors**, which is why we only have the position with a conviction level of 1/5.

Long SGD/IDR: We further **lower the conviction level to 3/5** (from 4; the conviction level was *raised to 5/5* on 29 May and then lowered to 4/5 on *12 June*), as near confirmation of the US-Iran MOU puts near-term pressures on our position. Our target remains at 14,600 (~12% total gains) by end-August, and spot is already trading close to our trailing stop-loss of 2%. Nonetheless, there is good reasoning for continuing to hold on to the trade through this week: 1) **BI may not hike at its regular policy meeting on 18 June** (our economics team's view) versus consensus expectations that BI will hike again. Arguably, the signing of the MOU reduces the need for BI to continue hiking. An on-hold decision by BI may lead to further IDR weakness; 2) **mixed BI signaling**. On 10 June, *Bloomberg* reported BI Governor Warjiyo signalled that the central bank will refrain from buying bonds with tenors that are 10 years or longer. **However, data on BI's holdings of IDR tradable government securities showed that they rose by IDR73.8trn (USD4.0bn) between 10 and 11 June**. While these are just two datapoints, we are concerned that BI could blunt the impact on higher SBN yields via its secondary-market purchases of government securities; 3) **nascent social concerns over the government's economic policy and spending**. BEM UI, the University of Indonesia's student executive body, called for students across Jakarta to join a demonstration on Friday (*Bloomberg*, 12 June). They protested that "fiscal policy is leaking, Bank Indonesia's independence is being stripped away, and the government's communication with the public remains far from adequate" (*Bloomberg*, 12 June); 4) **MSCI will soon communicate on the free float assessment of Indonesia securities as part of the Market Accessibility Review scheduled for 18 June 2026** (US close), which could result in *more foreign equity outflows*; and 5) we see an **increased risk of S&P lowering its rating outlook on Indonesia to negative** in June/July. However, a new market concern (*Bloomberg*, 3 June) is **whether there is an outright downgrade of Indonesia's credit rating** (as opposed to a revision to a negative outlook).

In **Singapore**, we believe that a US-Iran deal **reduces the risk of an unexpected tightening of global/US financial conditions**, and **removes a headwind for strong economic momentum**, led by the global tech uptrend, strong domestic construction activity, the expansionary stance of the FY26 budget and resilient domestic demand. Therefore, Singapore's output gap will likely remain positive, which raises the risk of second-round inflation effects from elevated energy prices. **We expect another slight S$NEER slope increase by the MAS at** its **July MAS policy announcement, which will likely keep SGD supported**.

Short AUD/NZD: A lower oil price should favour NZD over AUD, given that New Zealand is large oil importer, while Australia is a net energy exporter. At the same time, AUD has been the "higher beta" currency, more sensitive to swings in equity markets, commodity prices and credit spreads. The lower oil price therefore implies some offsetting forces for AUD versus NZD. We continue to believe that current rate spreads, and the theme that the RBA hiking cycle has most likely ended, while the RBNZ hiking cycle is creeping closer, should be supportive of a lower AUD/NZD cross. Positioning appears to have become less extreme, with CFTC data suggesting some covering of long AUD positions, and some covering of short NZD positions, but is still supportive of a lower AUD/NZD cross, in our view. We continue to target a move to 1.1750 by end-August with fairly firm conviction level (4/5).

Asia rates

Receive Korea 2yfwd5y NDIRS. As one of the highest beta markets within AeJ since the Iran war started at the end of February, Korea rates could outperform if a peace deal is reached. In addition, Korea's stronger fiscal position in comparison with some South Asia economies means fiscal term premium and KTB issuance might remain capped even if government maintains an expansionary fiscal stance. But we are holding the position with a conviction level of 3/5 now (reduced from 4/5 earlier today, still targeting 3.90%), as the BOK remains set to hike in July amid strong tech-driven exports and renewed concerns towards property price gains. Still, if geopolitical risk subsides we believe longer tenor rates can reprice terminal implied rates lower towards 3% and the 2s7s/2s10s curve can flatten back towards at least par over next few months.

India 2s5s NDOIS flattener India is another clear beneficiary of potentially lower oil prices with an Iran deal. Clearly, there has been some good news for India rates of late, starting from the less hawkish-than-expected RBI meeting on 5 June, followed by the FCNR(B) announcement, the removal of CGT and WHT for offshore bond investors. Rate hike pricing has accordingly come off to ~25bp for the next two meetings. With inflation still likely to move up over next few months, despite being partly due to low base effects, we believe current RBI hike pricing is towards the low end of our expected range. Given this and the 5y bond-swap spread still being narrow (5y NDOIS high relative to IGB yield), we maintain a Sep 2s5s NDOIS flattener with extra 2y pay and a conviction level of 3/5.

Convert pay Taiwan 5y NDIRS, **partly to spread vs US.** The combination of less hawkish comments by CBC governor Yang to the Legislature last week and today's broad rally in Asia rates have caused our pay 5y NDIRS position to breach our reassess level of 2.20%. As a result, we reduce the conviction level to 3/5 from 4/5 and convert this to a relative value position vs. 1/3 US Sep-2y IRS (current level 3.93%). We maintain some pay Taiwan exposure as the current level is already consistent with CBC staying on hold this week and 5y Taiwan rates have already moved back to levels before the Iran war started at the end of February. This should mean further downside is limited (barring a significant repricing lower in US rates) with Taiwan growth and the inflation trend still moving higher.

Please see Strategy portfolio update (7 May 2026) for our full portfolio.

Appendix A-1

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